Chapter 2 | Practice Questions

The Balance Sheet

These questions are adapted from the Connect homework.
If something looks off, check it against Connect first.
If it still looks wrong, report it to me (yu10j@cmich.edu).

Set 1 | Terms INDEPENDENT

Q1. Match each definition with the term it defines.

	Definition	Answer
1.	An exchange or event that has a direct and measurable financial effect.	_____
2.	The results of transaction analysis in debits-equal-credits format.	_____
3.	An economic resource owned by a business.	_____
4.	Cumulative earnings of a company that are not distributed to the owners.	_____
5.	Every transaction has at least two effects.	_____
6.	Amounts presently owed by a business.	_____

Choices:

A. Transaction
B. Duality of effects
C. Journal entry
D. Assets
E. Liabilities
F. Retained Earnings

Answers, Set 1:
Q1. 1 A 2 C 3 D 4 F 5 B 6 E

Set 2 | D|C Effects INDEPENDENT One column per question.

Q1. What effect does a **debit** have on each element of the accounting equation?

	Element	Answer
1.	Assets	_____
2.	Liabilities	_____
3.	Stockholders' Equity	_____

Choices: **A.** Increases **B.** Decreases

Q2. What effect does a **credit** have on each element of the accounting equation?

	Element	Answer
1.	Assets	_____
2.	Liabilities	_____
3.	Stockholders' Equity	_____

Choices: **A.** Increases **B.** Decreases

Answers, Set 2:
Q1. 1 A 2 B 3 B
Q2. 1 B 2 A 3 A

Set 3 | Increase / Decrease, D|C INDEPENDENT One column per question.

Q1. Which entry **increases** each element of the accounting equation?

	Element	Answer
1.	Assets	_____
2.	Liabilities	_____
3.	Stockholders' Equity	_____

Choices: **A.** Debit **B.** Credit

Q2. Which entry **decreases** each element of the accounting equation?

	Element	Answer
1.	Assets	_____
2.	Liabilities	_____
3.	Stockholders' Equity	_____

Choices: **A.** Debit **B.** Credit

Answers, Set 3:
Q1. 1 A 2 B 3 B
Q2. 1 B 2 A 3 A

Set 4 | Balance Sheet Classification INDEPENDENT

Q1. Indicate how each account normally should be **categorized** on a classified balance sheet.

	Account	Answer
1.	Accounts Payable	_____
2.	Accounts Receivable	_____
3.	Buildings	_____
4.	Cash	_____
5.	Common Stock	_____
6.	Equipment	_____
7.	Income Tax Payable	_____
8.	Notes Payable (due in three years)	_____
9.	Notes Payable (due in six months)	_____
10.	Retained Earnings	_____
11.	Salaries and Wages Payable	_____
12.	Supplies	_____

Choices:

A. Current Asset
B. Noncurrent Asset
C. Current Liability
D. Noncurrent Liability
E. Stockholders' Equity

Q2. Indicate whether each account normally has a **debit or credit balance**.

	Account	Answer
1.	Accounts Payable	_____
2.	Accounts Receivable	_____
3.	Buildings	_____
4.	Cash	_____
5.	Common Stock	_____
6.	Equipment	_____
7.	Income Tax Payable	_____
8.	Notes Payable (due in three years)	_____
9.	Notes Payable (due in six months)	_____
10.	Retained Earnings	_____
11.	Salaries and Wages Payable	_____
12.	Supplies	_____

Choices: **A.** Debit **B.** Credit

Answers, Set 4:
Q1. 1 C 2 A 3 B 4 A 5 E 6 B 7 C 8 D 9 C 10 E 11 C 12 A
Q2. 1 B 2 A 3 A 4 A 5 B 6 A 7 B 8 B 9 B 10 B 11 B 12 A

Set 5 | Recordable Transactions INDEPENDENT

Q1. Does each event below result in a recordable transaction for **The Toro Company**?

	Event	Answer
1.	Toro purchased robotic manufacturing equipment that it paid for by signing a note payable.	_____
2.	Toro's president purchased stock in another company for his own portfolio.	_____
3.	The company lent $550 to an employee.	_____
4.	Toro ordered supplies from Office Depot to be delivered next week.	_____
5.	Six investors in Toro sold their stock to another investor.	_____
6.	The company borrowed $2,500,000 from a local bank.	_____

Choices: **A.** Yes **B.** No

Answers, Set 5:
Q1. 1 A 2 B 3 A 4 B 5 B 6 A

Set 6 | Laser Delivery INDEPENDENT One transaction per view.

Laser Delivery Services, Incorporated (LDS) was incorporated January 1. It recorded the transactions below during the year.

Q1. **a.** Received $40,000 cash from the company's founders in exchange for common stock. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	40,000	
(b) _____		40,000

Q2. **b.** Purchased land for $12,000, signing a two-year note (ignore interest). Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	12,000	
(b) _____		12,000

Q3. **c.** Bought two used delivery trucks at the start of the year at a cost of $10,000 each; paid $2,000 cash and signed a note due in three years for $18,000 (ignore interest). Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	20,000	
(b) _____		2,000
(c) _____		18,000

Q4. **d.** Paid $2,000 cash to a truck repair shop for a new motor, which increased the cost of one of the trucks. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	2,000	
(b) _____		2,000

Q5. **e.** Stockholder Ruby Lee paid $300,000 cash for a house for personal use. Choose the correct account for the blank.

General Journal	Debit	Credit
(a) _____		

Accounts

Choose the correct account for each blank. An account may be used more than once, or not at all.

A. Accounts Payable
B. Buildings
C. Cash
D. Common Stock
E. Equipment
F. Land
G. Notes Payable
H. Repairs and Maintenance Expense
I. Retained Earnings
J. No Journal Entry Required

Answers, Set 6:
Q1. (a) **C.** Cash (b) **D.** Common Stock
Q2. (a) **F.** Land (b) **G.** Notes Payable
Q3. (a) **E.** Equipment (b) **C.** Cash (c) **G.** Notes Payable
Q4. (a) **E.** Equipment (b) **C.** Cash
Q5. (a) **J.** No Journal Entry Required

Set 7 | J.K. Builders INDEPENDENT One transaction per view.

J.K. Builders was incorporated on July 1. It recorded the transactions below for the month of July.

Q1. J.K. Builders bought an unused field from a local farmer by paying **$60,000 cash**; as a construction site, it is estimated to be worth **$65,000** to the company. It also received lumber supplies that would normally sell for **$10,000**, but the supplier gave it a **10% discount**. At what amount is each asset recorded?

	A	B	C	D	E
1. Land	$5,000	$10,000	$60,000	$65,000	$125,000
2. Supplies	$1,000	$9,000	$10,000	$11,000	$19,000

Q2. **a.** Received $70,000 cash invested by owners and issued common stock. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	70,000	
(b) _____		70,000

Q3. **b.** Bought an unused field from a local farmer by paying $60,000 cash. As a construction site for smaller projects, it is estimated to be worth $65,000 to J.K. Builders. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	60,000	
(b) _____		60,000

Q4. **c.** A lumber supplier delivered lumber supplies to J.K. Builders for future use. J.K. Builders has not yet received the $9,000 bill from the supplier. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	9,000	
(b) _____		9,000

Q5. **d.** Borrowed $25,000 from the bank with a plan to use the funds to build a small workshop in August. The loan must be repaid in two years. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	25,000	
(b) _____		25,000

Q6. **e.** One of the owners sold $10,000 worth of his common stock to another shareholder for $11,000. Choose the correct account for the blank.

General Journal	Debit	Credit
(a) _____		

Accounts

Choose the correct account for each blank. An account may be used more than once, or not at all.

A. Accounts Payable
B. Buildings
C. Cash
D. Common Stock
E. Land
F. Notes Payable
G. Retained Earnings
H. Supplies
I. Supplies Expense
J. No Journal Entry Required

Answers, Set 7:
Q1. 1 C 2 B
Q2. (a) **C.** Cash (b) **D.** Common Stock
Q3. (a) **E.** Land (b) **C.** Cash
Q4. (a) **H.** Supplies (b) **A.** Accounts Payable
Q5. (a) **C.** Cash (b) **F.** Notes Payable
Q6. (a) **J.** No Journal Entry Required

Set 8 | Spotlighter — Journal Entries INDEPENDENT One transaction per view.

Spotlighter, Incorporated recorded the transactions below in January.

Q1. **a.** Borrowed $3,940 from a local bank on a note due in six months. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	3,940	
(b) _____		3,940

Q2. **b.** Received $4,630 cash from investors and issued common stock to them. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	4,630	
(b) _____		4,630

Q3. **c.** Purchased $1,000 in equipment, paying $200 cash and promising the rest on a note due in one year. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	1,000	
(b) _____		200
(c) _____		800

Q4. **d.** Paid $300 cash for supplies. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	300	
(b) _____		300

Q5. **e.** Bought and received $700 of supplies on account. Choose the correct account for each blank.

General Journal	Debit	Credit
(a) _____	700	
(b) _____		700

Accounts

Choose the correct account for each blank. An account may be used more than once, or not at all.

A. Accounts Payable
B. Accounts Receivable
C. Cash
D. Common Stock
E. Equipment
F. Notes Payable
G. Notes Receivable
H. Retained Earnings
I. Supplies
J. Supplies Expense

Answers, Set 8:
Q1. (a) **C.** Cash (b) **F.** Notes Payable
Q2. (a) **C.** Cash (b) **D.** Common Stock
Q3. (a) **E.** Equipment (b) **C.** Cash (c) **F.** Notes Payable
Q4. (a) **I.** Supplies (b) **C.** Cash
Q5. (a) **I.** Supplies (b) **A.** Accounts Payable

Set 9 | Spotlighter — T-Accounts INDEPENDENT

The following are the transactions of **Spotlighter, Incorporated** for the month of January. Every account begins at zero.

- **a.** Borrowed $3,940 from a local bank on a note due in six months.
- **b.** Received $4,630 cash from investors and issued common stock to them.
- **c.** Purchased $1,000 in equipment, paying $200 cash and promising the rest on a note due in one year.
- **d.** Paid $300 cash for supplies.
- **e.** Bought and received $700 of supplies on account.

Q1. Determine the ending balance of each account.

	A	B	C	D	E
1. Cash	$7,370	$7,870	$8,070	$8,370	$8,570
2. Supplies	$0	$300	$400	$700	$1,000
3. Equipment	$200	$800	$1,000	$1,200	$1,800
4. Accounts Payable	$0	$700	$800	$1,000	$1,500
5. Notes Payable	$800	$3,940	$4,140	$4,640	$4,740
6. Common Stock	$3,940	$4,630	$4,740	$8,570	$9,370

Answers, Set 9:
Q1. 1 C 2 E 3 C 4 B 5 E 6 B

Set 10 | Spotlighter — Classified Balance Sheet INDEPENDENT

Prepare a classified balance sheet for **Spotlighter, Incorporated** as of January 31, including a zero balance for Retained Earnings. The ending balances:

Account	Balance
Cash	$8,070
Supplies	1,000
Equipment	1,000
Accounts Payable	700
Notes Payable **(short-term)**	4,740
Common Stock	4,630
Retained Earnings	0

Q1. Determine the amount of each line below on the classified balance sheet of Spotlighter, Incorporated as of January 31.

	A	B	C	D	E
1. Total Current Assets	$1,000	$2,000	$8,070	$9,070	$10,070
2. Total Assets	$2,000	$8,070	$9,070	$10,070	$11,070
3. Total Current Liabilities	$700	$4,040	$4,740	$5,440	$10,070
4. Retained Earnings	$0	$700	$4,630	$5,440	$10,070
5. Total Stockholders' Equity	$0	$4,630	$5,440	$9,370	$10,070
6. Total Liabilities and Stockholders' Equity	$4,630	$5,440	$9,070	$9,370	$10,070

Answers, Set 10:
Q1. 1 D 2 D 3 D 4 A 5 B 6 E